Founders' Interim Protection & Mutual Understanding

DW Toolbox INC | Minnesota Chapter 302A | Agreement for discussion and Minnesota counsel review

Purpose. A short but substantive pre-launch agreement protecting existing rights, confidential information and documented contributions. The parties intend Sections 4-9 to create binding obligations upon proper execution. No provision awards shares or establishes an unspecified salary.

Effective date (MM / DD / YYYY)

Target date for definitive terms

1. Parties and existing corporation

DW Toolbox INC, Minnesota domestic business corporation, filing no. 1657232800022, incorporated July 16, 2026; Benjamin W. Conklin ("Benjamin"); and Elliott T. Miller ("Elliott") are the proposed parties. The registered office shown publicly is 12908 Bayview Rd, South Haven, MN 55382-9606. Benjamin represents that he currently owns all issued and outstanding shares. The public listing of 500,000 shares is an authorization ceiling, not proof of how many shares were issued. The parties will verify the share register and current director/officer authority.

2. Shared business operation

Benjamin and Elliott intend to operate Drywall Toolbox together, with approximately equal overall operating workload and complementary specialty leads. Elliott coordinates customer and order workflows, shipping/tracking, inventory visibility, repair cases, digital systems and ecommerce technology. Benjamin leads physical repairs, receiving, supplier relationships, replenishment, physical fulfillment and commercial return/warranty/pricing decisions. Both assist with purchasing, picking, packing, planning and operating exceptions. These descriptions allocate work only; they do not create shareholder votes, a board seat, officer appointments, spending authority or guaranteed employment.

3. Present compensation and equity understanding

The founders have discussed an eventual 30%-40% target ownership interest for Elliott, progressively earned over a duration yet to be agreed, together with salary compensation and financial-stability-based adjustments. The precise target, vesting conditions, service commencement, share source, capital basis, salary and wage terms are not agreed. No present or future stock, option, voting right, dividend right or definite salary amount is granted by this agreement. Written definitive terms and any required corporate approvals remain necessary.

4. Documented contributions and existing claims

Each individual agrees to cooperate in preparing a good-faith contribution and asset inventory within the agreed schedule. The schedule shall identify prior services, purchases, advances, reimbursements, source code, brand assets, domain/account ownership and third-party materials. Listing an item does not concede ownership, assign intellectual property, waive payment, or value a contribution. Neither person releases or waives existing rights to earned wages, approved reimbursements, or independently owned property by signing this agreement.

5. Confidentiality and responsible use

Each signatory shall use nonpublic business information accessed through their work only for authorized DW Toolbox activities; exercise reasonable care to prevent unauthorized disclosure; and promptly report a material suspected disclosure to the company. Exceptions include information publicly available without breach, independently developed without use of protected information, lawfully obtained from third parties, and disclosures required by law or protected employee activity. This clause is not a noncompetition, nonsolicitation or unlawful employment restriction.

6. Continuity, access and property

Neither individual shall intentionally destroy, conceal, improperly transfer, or disable company records, repositories, accounts, inventory or business-critical systems, or obstruct lawful access by duly authorized company representatives. Access shall remain based on actual permissions and corporate authorization, with legitimate urgent security revocation permitted and documented. Neither party acquires new administrator privileges or a right to credentials under this clause.

7. No unilateral IP transfer; cooperation

Pre-existing intellectual property retains its lawful owner unless assigned by a separately signed document identifying the property and scope. Neither individual shall hold property belonging to the corporation hostage or represent personally owned property as assigned without evidence. The founders will identify assets requiring an appropriate assignment or license before the company relies on them commercially.

8. Formalization process and dispute handling

Within 15 calendar days after signing, the founders will meet to exchange the information required for compensation and equity negotiations. By the target date entered above, they will record their completed decisions or remaining disagreements in writing. This process does not obligate either party to agree to an unspecified salary or equity award. Disputes arising under binding provisions will first be discussed in good faith; either party may request nonbinding mediation in Minnesota without waiving otherwise available legal remedies.

9. Binding scope; corporate capacity; amendments

Sections 4-8 are intended as mutual contractual obligations, subject to applicable law. Sections 1-3 record acknowledged information and intentions but are not themselves a stock grant, employment offer, shareholder control agreement or authorization to bind the corporation. Minnesota law governs. Amendments and any waiver of these protections must be in a dated writing signed by the affected parties. If any provision is invalid, the remainder survives to the extent lawful. Only an authorized corporate representative may bind the corporation, and corporate liability arises only to the extent it validly executes this agreement. Existing nonwaivable employment rights remain intact.

10. Execution and approvals

The individuals sign in their personal capacities. Complete the corporation block only after confirming the signer's board or officer authority; otherwise, the corporation is not assumed to be bound.

Benjamin W. Conklin - signature (sign after printing)

Date

Elliott T. Miller - signature (sign after printing)

Date

DW Toolbox INC - authorized officer or representative name and title (if applicable)

Corporate signature (if authorized)

Date

Signing caution: Confirm that the desired binding provisions are legally appropriate, that names and authority are accurate, and that the signatories understand this document does not insure or award any future ownership. A Minnesota corporate attorney should review before signing.